

Feeling confident

For traders in any market, information about the past is a crucial tool in forecasting the future. It's a guide to gauging how much risk is involved in making decisions about buying and selling. There are many factors that affect future trends in the market, so calculating the degree of risk can be complex. It may even involve mathematical formulas and computer modeling. But the most sophisticated methods can't take into account every possibility, and their predictions can't be totally relied on. Often, economic decisions are based as much on hunches as complicated math. Experienced traders develop a "feel" for the market they work in, and rely on how confident they are about a business from past experience and how other traders are behaving. On the stock exchange the price of shares in a company depends as much on the confidence people have in the company as its actual performance.

**I WILL TELL YOU THE SECRET TO
GETTING RICH ON WALL STREET.
YOU TRY TO BE GREEDY WHEN OTHERS
ARE FEARFUL. AND YOU TRY TO BE
FEARFUL WHEN OTHERS ARE GREEDY.**

WARREN BUFFETT